

CHAPTER 5: FUNDAMENTAL ANALYSIS

This tier checks if the filtered stock is worthy in terms of valuation. The goal is to avoid buying good technical stocks that are overvalued or have weak fundamentals.

5.1 Fair Value & Under Valued

Stock valuation methods:

Method	How to apply
P/E Ratio	Compare the P/E with the industry average. $P/E < \text{industry average}$ = comparatively cheaper
Forward P/E	Use the EPS projected for next year. Forward $P/E < 20$ for growth stock = reasonable
PEG Ratio	P/E divided by EPS growth rate. $PEG < 1$ = can be undervalued
Price/Free Cash Flow	Better than P/E because FCF is difficult to distort. $P/FCF < 25$ = reasonable
DCF (Discounted CF)	Intrinsic valuation according to future cash flows. Complex but most accurate
EV/EBITDA	Common in M&A. $< 10\text{-}12x$ = reasonable with most sectors

Công cụ nhanh: Morningstar (có Fair Value estimate), Macrotrends.net (lịch sử P/E), Simply Wall St (visual analysis).

5.2 Broke Down Near Support

This is a combination of technical and fundamental filters: find stocks that are good fundamentals but are falling to a strong support zone. This is usually the best buying opportunity.

Tiêu chí Broke Down Near Support

- ✓ Good fundamentals: EPS growth, positive FCF, low debt/equity
- ✓ Trading near an important historical support zone (old buy zone, 61.8% Fib...)
- ✓ Volume when falling below average volume (no panic selling)
- ✓ Negative catalyst has been discounted by the market in price (bad news = good buy)
- ✓ IV% is at a high level → the opportunity to sell put to buy stocks at a better price

5.3 Historical & Implied Volatility